

all the way up to the time we were making millions. In fact, this is the sign of a successful pivot: the new experiments you run are overall more productive than the experiments you were running before.

This is the pattern: poor quantitative results force us to declare failure and create the motivation, context, and space for more qualitative research. These investigations produce new ideas—new hypotheses—to be tested, leading to a possible pivot. Each pivot unlocks new opportunities for further experimentation, and the cycle repeats. Each time we repeat this simple rhythm: establish the baseline, tune the engine, and make a decision to pivot or persevere.

## OPTIMIZATION VERSUS LEARNING

Engineers, designers, and marketers are all skilled at optimization. For example, direct marketers are experienced at split testing value propositions by sending a different offer to two similar groups of customers so that they can measure differences in the response rates of the two groups. Engineers, of course, are skilled at improving a product's performance, just as designers are talented at making products easier to use. All these activities in a well-run traditional organization offer incremental benefit for incremental effort. As long as we are executing the plan well, hard work yields results.

However, these tools for product improvement do not work the same way for startups. If you are building the wrong thing, optimizing the product or its marketing will not yield significant results. A startup has to measure progress against a high bar: evidence that a sustainable business can be built around its products or services. That's a standard that can be assessed only if a startup has made clear, tangible predictions ahead of time.

In the absence of those predictions, product and strategy decisions are far more difficult and time-consuming. I often see this in my consulting practice. I've been called in many times to help a startup that feels that its engineering team "isn't working hard enough."